

most speculative issues, *e.g.*, “penny mining stocks,” *must* be purchased outright, since no one will lend money against them. Conversely, when the American public was urged during the war to buy Liberty Bonds with borrowed money, such purchases were nonetheless universally classed as investments. If strict logic were followed in financial operations—a very improbable hypothesis!—the common practice would be reversed: the safer (investment) issues would be considered more suitable for marginal purchase, and the riskier (speculative) commitments would be paid for in full.

Similarly the contrast between permanent and temporary holding is applicable only in a broad and inexact fashion. An authority on common stocks has defined an investment as any purchase made with the intention of holding it for a year or longer; but this definition is admittedly suggested by its convenience rather than its penetration.⁴ The inexactness of this suggested rule is shown by the circumstance that *short-term investment* is a well-established practice. *Long-term speculation* is equally well established as a rueful fact (when the purchaser holds on hoping to make up a loss), and it is also carried on to some extent as an intentional undertaking.

4 and 5. Income vs. Profit; Safety vs. Risk. The fourth and fifth distinctions also belong together, and so joined they undoubtedly come closer than the others to both a rational and a popular understanding of the subject. Certainly, through many years prior to 1928, the typical investor had been interested above all in safety of principal and continuance of an adequate income. However, the doctrine that common stocks are the best long-term investments has resulted in a transfer of emphasis from current income to future income and hence inevitably to future enhancement of principal value. In its complete subordination of the income element to the desire for profit, and also in the prime reliance it places upon favorable developments expected in the future, the new-era style of investment—as exemplified in the general policy of the investment trusts—is practically indistinguishable from speculation. In fact this so-called “investment” can be accurately defined as speculation in the common stocks of strongly situated companies.

⁴ Sloan, Laurence H., *Everyman and His Common Stocks*, pp. 8–9, 279 ff., New York, 1931.